



6.8%

of the GDP is the current fiscal deficit. It was 2.8% in 2008-09 and 5.8% in the pre-poll Budget. The stimulus accounts for 1% of the GDP.

10.1%

is the rate at which bank credit grew year-on-year as of November 20.

merely because of the stimulus alone. If you look at cement, telecom, FMCG, two-wheelers; all these sectors have benefited from rural purchasing power. That is partly responsible for this recovery—it is not as high as 8 per cent, but it certainly is inching up above 6.5 per cent or possibly up to 7 per cent.

Dev: The recovery seems to be real and more than just easy liquidity. Perceptions have changed from negative to positive. At the global level, there are three channels which had impact on India (a) trade channel; (b) financial channel; (c) collapse of business and consumer confidence. The last two channels have improved. FDI and FII flows have increased. Indian companies are able to mobilise equity and debt in foreign and domestic markets. The business confidence at global level increased. Only in the trade channel, the revival of exports will take some more time.

Goyal: I also think it is real because if you see there was part of this slowdown which was due to extreme monetary tightening. There was also this fear factor apart from outflows. So this monetary fiscal response is required to staunch that and industry has recovered, there is real growth and therefore you have got over that slump.

Bery: Globally we are now moving into a situation where the big boys on the whole are being saved. Though it is turning out to be an SME crisis everywhere. I am not sure the Government is going about it the right way pushing banks into lending. It should be happening spontaneously, but the fact that it is not happening spontaneously.

Aiyar: So you are not very confident about the recovery story that is being spoken of.

Bery: No, I am not confident that the credit is going to be there for the recovery and that is another reason why we had been mad to impose capital controls at this time. We need every form of credit support we can get.

Roy: So far as recovery is concerned, one can clearly see the early signs of that. Currently, both consumer confidence as well as investor confidence are back. If you look at investor confidence, liquidity is there in the market, interest rates are benign. So far as the long-term India story is concerned there must be some confidence in this economy otherwise people will not or the private equity funds will not be putting money in. After all, a large part of the FDI increase today is private equity.

Debroy: The recovery is entirely conditional on the numbers and the bench marks. And the bench marks to me are the following. The

The Bite REPORT Concerns



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BIG WORRIES

- The recovery will lead us to forget the lessons; that we need to manage inflows
- Improve efficiency in supply-side response
- We have not adjusted the reforms package in response to the crisis

- Economic populism can grow
- Tight credit policy, and protection at both home and abroad
- A non-economic worry is terrorism

FORECAST

DEC 2010	Inflation		Inflation	
	5%		5%	
DEC 2010	Interest		Interest	
	7.5%		8.5%	
DEC 2010	Rs-\$ rate		Rs-\$ rate	
	44		42	
GDP	2009-10		2009-10	
	6.5%		7%	
GDP	2010-11		2010-11	
	7%		8%	

* By March 2010

worst growth we had was 5-5.3 per cent in those two quarters. Compared to 5.3 per cent we are now on something between 6 and 6.5 per cent, all of us would agree. Now, obviously compared to 5.3 per cent, 6.5 per cent is recovery of sorts. The additional point I want to make is one of the problems that we have in India is that we get the data a little late i.e. there is a time lag. So this hypothesis that all of us advancing that there has been a recovery to the level of 6-6.5 per cent will be vindicated once the GDP numbers begin to come in. **Kumar:** What Bibek said is correct. The first half of 2008-09 was 8.5 per cent, second half was 5.3 per cent. Should we compare it to that? Compared to that quarter, 2009-10 has been 6.1 per cent and we expect to grow around that. To me that is not recovery; that is simply the business cycle not going down